

have to continue to invest in this area. Since budgetary resources are scarce, we should rely much more on public-private partnerships (PPPs). We have had good experience of this in the roads sector and in airports over the past twenty years. Railway station development, for example, in many cities can be left to PPPs. Similarly, there is no reason why some of the trains, especially those

best instrument for this may not be public expenditure, but rather more generous tax deductions. We used to allow 200% tax deduction against research expenditure. This should be reintroduced.

Turning to social development, there is general agreement that we need to spend at least 1% of GDP more on education and the same amount on health.

the Budget over the next five years or so while still reducing the fiscal deficit will be a challenge. We need to take steps that will improve the yield from taxes, without raising rates. An obvious area for action on the tax front is the goods and services tax (GST). Experts agree that we should simplify the GST rate structure with no more than two rates, with a possible sumptuary third rate for

in the Parliamentary Consultative Committee before submission to the GST Council. I think it would help mobilise political support for the changes.

On the expenditure side, we should start thinking of phasing out some expenditure. There is a case for a phased reduction in subsidy on nitrogenous fertiliser, which is leading to an imbalance in fertiliser application and wasteful use of nitrogenous fertiliser that actually damages the soil. It could be replaced by a suitable cash subsidy to farmers which would even save money. There is also a case for phasing out the 5 kg of free food given at present to almost 67% of the population. Since the NITI Aayog has estimated that only about 5% of the population is below the poverty line, the coverage of the free food scheme could be drastically reduced to say 15 or at most 20% of the population.

The government should consider implementing the privatisation programme it had announced earlier. The idea was that public sector organisations except those in strategic sectors would be fully privatised. This seems to have been put in cold storage.

60 | “THE POLICIES OF DEVELOPED COUNTRIES ARE HIGHLY UNCERTAIN, AND WE WILL HAVE TO SHOW CONSIDERABLE IMAGINATION AND FLEXIBILITY TO RESPOND TO THEM”

aiming at the section of the public that wants a higher quality of service and is willing to pay, should not be privatised.

You mentioned innovation and that is certainly important. There is a strong case for additional public expenditure on R&D in agriculture, especially because climate change will require more resources to develop climate appropriate new seeds. We also need to increase R&D in the private corporate sector. The

Defence is another area where we need to spend more. Our defence expenditure has fallen to below 2% of GDP and this is not consistent with the growing geopolitical tensions in our neighbourhood. It needs to be raised to at least 3% within a five-year period. This is not nationalistic drum beating. It is simply a realistic assessment of the need to upgrade our capacity to the minimum needed.

Fitting all these additional expenditures into

luxuries. The simplification would improve the ease of doing business and lead to higher revenues.

It is true that this can only be done by the GST Council, but since the move has been endorsed by all political parties, we should act speedily on it. The finance minister could take a note to the GST Council making specific proposals in this regard and also make the note public. It could even be discussed